# Sun Pharmaceutical Industries' $11.75 Billion Acquisition of Organon & Co.

Strategic, Financial and Portfolio Analysis

Animesh Mishra | IIHMR University, Jaipur | MBA Pharmaceutical Management | April 2026

## 1. Executive Summary

On 26 April 2026, Sun Pharmaceutical Industries Limited entered into a definitive Agreement and Plan of Merger to acquire Organon & Co. in an all-cash transaction valued at $11.75 billion at the enterprise level. Organon, spun off from Merck & Co. in 2021, brings a portfolio spanning women's health, biosimilars, and a broad range of established brands across 140 countries.

The deal is India's largest-ever outbound pharmaceutical acquisition—eclipsing Tata Steel's $13 billion purchase of Corus in 2007 by sector comparison—and would push the combined entity to approximately $12.4 billion in pro forma revenue, placing it among the world's top 25 pharmaceutical companies. The transaction serves three strategic objectives: securing a top-three global position in women's health, bypassing organic development timelines to enter biosimilars at scale, and acquiring a functioning $800 million commercial platform in China.

The deal is not without complications. Sun Pharma is assuming $8.6 billion in Organon's gross debt, absorbing a business with impending losses of exclusivity on flagship assets, and taking on a company recently destabilised by an internal channel-stuffing scandal. This report examines the transaction mechanics, portfolio rationale, financial structure, governance risks, and the key metrics that will determine whether the acquisition ultimately delivers on its strategic promise.

| Parameter | Detail |
|---|---|
| Transaction value | $11.75 billion (enterprise); $3.99 billion (equity) |
| Offer price | $14.00 per share — 103% premium to unaffected stock price (9 April 2026) |
| EV/EBITDA multiple | ~6.2x trailing (Organon CY2025 Adjusted EBITDA: $1.9 billion) |
| Financing structure | $2.0–2.5B Sun Pharma cash + $9.25–9.75B syndicated debt (Citi, JPMorgan, MUFG) |
| Pro forma revenue | $12.4 billion combined (Sun: $6.2B, Organon: $6.2B, FY2025) |
| Pro forma EBITDA | ~$3.7 billion; Net Debt/EBITDA at close: ~2.3x |
| Combined employees | ~24,000 commercial-facing staff across ~150 countries |
| Expected closing | Early 2027 (subject to HSR, EC, SAMR, CCI approvals) |

Sources: Organon 8-K (SEC), Sun Pharma press release, ICRA credit analysis, April–May 2026

## 2. Transaction Mechanics and Valuation

### 2.1 Legal Structure

The legal architecture is structured through multiple international subsidiaries to optimise tax and jurisdictional efficiencies. The primary contracting parties are: Organon & Co. (the acquired entity); Sun Pharmaceutical Holdings USA, Inc. (Parent); Sun Pharma America, Inc. (Merger Sub); and, for specific covered provisions, the ultimate parent Sun Pharmaceutical Industries Limited alongside Sun Pharma Canada Inc. and Sun Pharma (Netherlands) B.V. Upon closing, the Merger Sub will merge into Organon, which will survive as a wholly-owned subsidiary of Sun Pharma. The agreement contains operational covenants restricting Organon from taking material actions without Sun Pharma's prior consent during the period before close.

The outside contractual deadline for closing is 26 January 2027 (5:00 p.m. New York time). The agreement includes standard no-shop and fiduciary-out provisions; should Organon's board accept a Superior Proposal before closing, Organon is obligated to pay Sun Pharma a $120 million termination fee.

### 2.2 Valuation and Premium

Sun Pharma is paying $14.00 per share, representing a 103% premium to Organon's unaffected closing price on 9 April 2026, and a 24% premium to the pre-announcement close. On the face of it, a 103% premium looks aggressive. In practice, Organon's equity had been hammered by institutional investors for years—stagnant revenue cycling between $6.2–6.4 billion since its 2021 spin-off, a crippling debt load, impending loss of exclusivity (LOE) on Nexplanon, and, more recently, an accounting scandal that triggered a material weakness disclosure. At a 6.2x EV/EBITDA takeout multiple, Sun Pharma is acquiring a business with highly stable cash flows at a valuation typically reserved for distressed assets.

Advisory roles: J.P. Morgan and Jefferies advised Sun Pharma (legal: White & Case and AZB & Partners); Morgan Stanley and Goldman Sachs advised Organon (legal: Sullivan & Cromwell and Cyril Amarchand Mangaldas).

## 3. Financial Structure and Deleveraging

Sun Pharma is deploying $2.0–2.5 billion of its own cash reserves (against a net cash position of approximately $3.2 billion at FY2025 close) and raising $9.25–9.75 billion through a syndicated debt package underwritten by Citigroup, JPMorgan, and MUFG. This financing approach marks a clear departure from the conservative, debt-averse posture that has historically characterised Indian pharmaceutical M&A.;

Post-close, the combined entity will carry a consolidated net debt-to-EBITDA ratio of approximately 2.3x—meaningfully lower than Organon's standalone 4.0x, reflecting Sun Pharma's stronger balance sheet absorbing the debt. Management has indicated that deleveraging is the primary financial priority over the next three to four years. The pro forma combined entity is projected to generate approximately $2.5 billion in annual free cash flow; directed toward term loan retirement, ICRA projects the gross debt/OPBITDA ratio will fall to approximately 1.0x by FY2030. Dilip Shanghvi also confirmed that the current dividend framework will be maintained, signalling management's confidence in the durability of

Organon's cash flows.

| Metric | Sun Pharma (FY25) | Organon (CY25) | Pro Forma Combined |
|---|---|---|---|
| Revenue | $6.2B | $6.2B | ~$12.4B |
| Adjusted EBITDA | $1.8B | $1.9B | ~$3.7B |
| Gross Debt | ~$0.5B | $8.6B | ~$9.5B (post-syndicates) |
| Net Debt/EBITDA | ~0.1x | ~4.0x | ~2.3x at close |
| Free Cash Flow (projected) | N/A | N/A | ~$2.5B annually |

Sources: Sun Pharma FY25 annual results; Organon CY25 financial filings; ICRA credit assessment.

## 4. Strategic Rationale: Four Pillars

### 4.1 Women's Health: Entering the Top Three Globally

Organon's women's health portfolio—over 70 products generating $1.8 billion in 2024, roughly 28% of total revenue—is the most distinctive part of what Sun Pharma is buying. Large Western innovators have progressively divested women's health assets to fund oncology and GLP-1 pipelines, leaving a $35 billion market increasingly underserved by the traditional industry leaders. Organon was built around that segment, and Sun Pharma is now inheriting that position.

The anchor asset is Nexplanon (etonogestrel subdermal implant), which generated $921 million in 2025—$610 million from the US alone. The asset faces a critical lifecycle inflection: US exclusivity is projected to expire in May 2027. Organon filed for a five-year duration label expansion with the FDA in December 2024; approval would push the generic cliff to 2030. Managing that FDA review and the subsequent patent defence will be one of the most consequential near-term tasks for the combined leadership.

On the fertility side, Follistim AQ (follitropin beta) contributed $264 million in 2025, with $112 million from the US and a growing $60 million from China. Ganirelix Acetate added $101 million. These assets operate in a high-margin niche—IVF pharmaceuticals command significant brand loyalty and are largely insulated from generic substitution due to specialist prescribing patterns and the high-stakes context of assisted reproduction.

### 4.2 Biosimilars: Instant Scale

Sun Pharma's generic portfolio was built around small-molecule chemistry, giving it a negligible footprint in biologics. The Organon acquisition resolves that gap immediately. Organon's biosimilar division—eight marketed products, approximately $700 million in revenue—vaults Sun Pharma into the position of the world's seventh-largest biosimilar manufacturer.

The two financial anchors are immunology biosimilars: Renflexis (infliximab, Remicade biosimilar) at $251 million, with $183 million from the US, and Hadlima (adalimumab, Humira biosimilar) at $228 million, with $166 million from the US. The portfolio also includes Ontruzant (trastuzumab) in oncology and Brenzys (etanercept). Beyond the revenue itself, Sun Pharma absorbs established relationships with US pharmacy benefit managers and group purchasing organisations—commercial infrastructure that would otherwise take years to build.

A significant legal development in Q1 2026: Organon and Shanghai Henlius settled BPCIA litigation with Amgen over the denosumab biosimilars Bildyos and Bilprevda on 31 March 2026. This consent judgment provides commercial clarity for two high-value US biosimilar launches that had been held in regulatory and legal limbo.

### 4.3 Established Brands: The Cash Engine

The established brands segment—over 50 off-patent or late-lifecycle products carved out from Merck's legacy pharmaceutical lines—is projected to represent approximately 51% of the combined entity's revenue, or roughly $6.3 billion annually. This portfolio contains 15 individual brands that each generate over $100 million in annual revenue and spans 140 countries.

Under Merck and then under Organon, these brands experienced slow volume erosion—a predictable outcome when originator companies lack the margin incentive or operational focus to aggressively manage late-lifecycle assets. Sun Pharma's approach will be different. The company targets over $350 million in annual cost synergies within two to four years, primarily through shifting API and finished dosage production to its lower-cost Indian and emerging-market manufacturing network. Reduced COGS allows Sun Pharma to cut prices in volume-sensitive markets while maintaining or expanding margins. The domestic Indian opportunity is particularly significant: Organon has a negligible footprint in India currently, and Sun Pharma can change that quickly.

| Brand | Therapeutic Area | 2025 Revenue ($M) | Key Markets |
|---|---|---|---|
| Nexplanon / Implanon NXT | Women's Health (LARC) | $921 | US ($610M), LAMERA ($195M) |
| Zetia | Cardiovascular (lipid) | $342 | China ($166M), Asia Pacific ($59M) |
| Atozet / Liptruzet | Cardiovascular (lipid) | $324 | Europe/Canada ($137M), Asia Pacific ($128M) |
| Arcoxia | Pain / Rheumatology | $265 | LAMERA ($86M), Europe ($66M) |
| Follistim AQ | Women's Health (fertility) | $264 | US ($112M), China ($60M) |
| Nasonex | Respiratory (rhinitis) | $262 | China ($79M), LAMERA ($76M) |
| Singulair | Respiratory (asthma) | $252 | Asia Pacific ($100M), China ($66M) |
| Renflexis | Biosimilar (immunology) | $251 | US ($183M) |
| Hadlima | Biosimilar (immunology) | $228 | US ($166M) |

| Brand | Therapeutic Area | 2025 Revenue ($M) | Key Markets |
|---|---|---|---|
| Cozaar / Hyzaar | Cardiovascular (hypertension) | $219 | China ($101M) |
| Emgality / Rayvow | Neurology (migraine) | $174 | China ($146M) |
| Ganirelix Acetate | Women's Health (fertility) | $150 | Multiple markets |
| Dulera | Respiratory (asthma/COPD) | $153 | US ($113M), LAMERA ($80M) |
| Diprospan | Dermatology / Rheumatology | $143 | China ($54M), Europe ($43M) |
| Vtama (tapinarof) | Dermatology (psoriasis) | $128 | US (growing); APAC ($16M) |

Source: Organon Q4 2025 financial filings and regional revenue matrices.

### 4.4 China: A Ready-Made Platform

Indian pharmaceutical companies have struggled structurally to penetrate the Chinese market. The barriers are well-known: opaque regulatory timelines, domestic competition, and the price-compression effects of China's Value-Based Procurement (VBP) national tender system. Organon has navigated all of this and built a platform generating over $800 million in annual China revenue across eight major brands. Zetia alone contributed $166 million from China in 2025; Cozaar/Hyzaar added $101 million; the Emgality/Rayvow neurology portfolio added $146 million. That resilience through VBP cycles is commercially significant—it indicates underlying brand equity rather than distributor dependency.

Sun Pharma can now use Organon's Chinese regulatory affairs team and hospital sales network to commercialise its own pipeline in China, including Ilumya (ixekizumab, psoriasis biologic), which currently has minimal Chinese penetration. This effectively collapses what would otherwise be a decade-long market development process.

## 5. Pre-Acquisition Portfolio Shaping

### 5.1 Vtama and the Dermavant Acquisition

In late 2024, Organon acquired Dermavant Sciences for $1.2 billion, securing Vtama (tapinarof 1% cream), an aryl hydrocarbon receptor (AhR) agonist approved by the FDA in 2022 for plaque psoriasis. At the time, many analysts criticised the move as poorly timed given Organon's debt burden. With the Sun Pharma integration in view, the logic becomes clearer: Vtama generated $128 million in 2025, growing 111% year-on-year, and positive clinical data suggest it can be extended into atopic dermatitis—a market estimated at four times the size of plaque psoriasis. Sun Pharma's existing global dermatology sales force (built around Ilumya, Winlevi, and Odomzo) provides the commercial engine Organon lacked to scale Vtama internationally.

### 5.2 Divestiture of the Jada System

In November 2025, Organon divested the Jada System—a medical device for managing postpartum haemorrhage—to Laborie Medical Technologies for $440 million upfront, with a further $25 million contingent on 2026 revenue milestones. The Jada System had been growing at 40% year-on-year, reaching $61 million in 2024, but the divestiture made sense: Organon needed to reduce leverage ahead of the Sun Pharma transaction, and the medical device business was tangential to its core pharmaceutical focus. The proceeds went directly to debt reduction, marginally lowering the leverage Sun Pharma ultimately assumed.

## 6. Corporate Governance and Internal Controls

A significant portion of why this deal was available at 6.2x EBITDA was the governance crisis that engulfed Organon in late 2025. The company's Audit Committee found that executives had incentivised US wholesalers to purchase inflated quantities of Nexplanon at the end of multiple reporting periods—a practice that pulled forward future revenue into current quarters. The investigation covered Q4 2022, Q3 and Q4 2024, and the first three quarters of 2025. While the incremental sales involved represented less than 1–2% of consolidated revenue in any given period, the practice amounted to channel stuffing that allowed Organon to meet external guidance artificially.

The fallout was swift: founding CEO Kevin Ali resigned and forfeited severance and equity benefits; the Head of US Commercial was terminated. Joseph Morrissey (formerly EVP of Manufacturing & Supply) was appointed Interim CEO, and Carrie Cox became Executive Chair. PricewaterhouseCoopers disclosed one or more material weaknesses in Internal Control Over Financial Reporting (ICFR) as of December 31, 2024, meaning the 2024 10-K audit opinion could not be relied upon.

For Sun Pharma, remediating these ICFR weaknesses is a near-term priority that will require deploying forensic accounting and compliance teams into Organon's US operations before consolidating the financials. The silver lining for Sun Pharma is clear: the scandal drove Organon's stock to distressed levels and created the valuation opportunity that made the deal's economics compelling.

## 7. Capital Market Reception

Markets reacted positively. On 27 April 2026—the first trading session after the weekend announcement—Sun Pharmaceutical Industries (NSE: SUNPHARMA) shares surged approximately 7–9%, hitting an intraday high of Rs 1,767 before closing at Rs 1,738.60 on volume of approximately 27 million shares, compared to a pre-announcement baseline of 2–4 million shares per day. Shares continued trending upward through the following week, closing at Rs 1,808 on 30 April 2026.

Analyst commentary was broadly supportive. Macquarie's Kunal Dhamesha called it a 'compelling strategic and financial fit,' noting that innovative medicines would grow to 27% of pro forma revenue. Elara Capital argued the 6.2x EV/EBITDA multiple was fundamentally fair. HDFC Securities modelled the acquisition as accretive to Sun Pharma's FY2028 sales by 80%, EBITDA by 82%, and PAT by 27%, and raised its price target to approximately Rs 2,300.

Organon's stock (NYSE: OGN) rose approximately 17% toward the $14.00 all-cash offer price on deal day, reflecting market confidence in the transaction completing. Early stockholder scrutiny has emerged: law firm Ademi LLP has launched a fiduciary duty investigation questioning whether $14.00 per share represents adequate consideration.

## 8. Regulatory Approvals and Timeline

Closing requires regulatory clearances across multiple jurisdictions. The key checkpoints are:

| Jurisdiction | Requirement | Risk Assessment |
|---|---|---|
| United States | Hart-Scott-Rodino (HSR) waiting period expiration or termination | Moderate — limited portfolio overlap between Sun Pharma (generics/dermatology) and Organon (women's health/biosimilars) reduces horizontal concern, though FTC scrutiny of large pharma M&A; remains elevated |
| European Union | European Commission antitrust clearance | Moderate — Sun Pharma has retained Sullivan & Cromwell's Brussels antitrust practice proactively |
| China | State Administration for Market Regulation (SAMR) clearance | Low-to-moderate — transaction involves transfer to an Indian parent; domestic Chinese competition issues expected to be minimal |
| India | Competition Commission of India (CCI) clearance | Low — domestic overlap is negligible |

Both boards have approved the transaction. Organon shareholder vote is expected at the Annual Meeting scheduled for 9 June 2026. Target close: early 2027.

## 9. Strategic Conclusions and Key Risks to Monitor

Sun Pharma's acquisition of Organon is a well-constructed distressed-asset transaction. The company acquired a broad, cash-generating global pharmaceutical portfolio at a conservative valuation multiple, primarily because Organon's governance problems and debt burden had destroyed institutional confidence. The strategic logic is sound: the deal solves Sun Pharma's biosimilar gap, establishes a China platform that would have taken a decade to build organically, and creates the world's third-largest women's health franchise.

Three areas will determine whether the deal delivers:

**Deleveraging execution.** The combined entity needs to direct its $2.5 billion annual free cash flow consistently toward debt retirement. Any material revenue shortfall—from Nexplanon LOE, VBP tender losses in China, or biosimilar pricing pressure—will slow deleveraging and constrain Sun Pharma's future M&A; optionality.

**Nexplanon lifecycle management.** The FDA five-year duration application is the most commercially sensitive pending regulatory decision in the combined portfolio. An approval extends the US exclusivity runway to 2030; a rejection compresses it to 2027. The difference in revenue impact is substantial, and the timeline for generic entry in the US contraceptive LARC market will be shaped by how aggressively generics file and litigate.

**ICFR remediation and integration.** Rebuilding Organon's internal controls, integrating 24,000 commercial employees across 150 countries, and restoring trust with US wholesale distribution channels will take time and management bandwidth. Sun Pharma has executed complex integrations before—Ranbaxy being the most instructive precedent—but this is a different order of complexity, with a larger geographic footprint and a more diverse portfolio.

If those three execution risks are managed well, the transaction positions Sun Pharma as something qualitatively different from what it was before: not only India's largest drug company, but a genuinely diversified global specialty pharmaceutical business with durable leadership positions in multiple high-value therapeutic areas.

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